
15.1 RISING INEQUALITY

Definition:

Rising inequality refers to the growing gap between the rich and the poor in terms of income, wealth, access to opportunities, and political influence. It leads to socio-economic disparities and affects social cohesion, governance, and economic development.

15.1.1 Elite Capture

Definition:

Elite capture is a situation where resources, policies, and institutions intended for the public good are controlled and manipulated by a small, powerful group (the elite) for their own benefit.

Characteristics:

- Unequal access to decision-making and resources.
- Misallocation of public funds and welfare programs.
- Creation of laws and institutions favoring the elite.
- Systematic exclusion of marginalized groups.

Mechanisms of Elite Capture:

- **Political influence:** Elites influence lawmakers and political parties through campaign financing and lobbying.
- **Control over media and narrative:** They shape public opinion to support policies favoring their interests.
- **Institutional manipulation:** Capture of judiciary, bureaucracy, and law enforcement.
- **Monopoly of economic sectors:** Control of land, real estate, industries, and banking.

Consequences:

- Widening income and wealth gaps.
- Reduced social mobility and increased poverty.
- Weakening of democratic institutions.
- Public distrust in government and increased unrest.

Example in Pakistan:

- Land reforms have often failed due to feudal elite opposition.
 - Tax laws favoring business elites, with many big businesses paying little or no tax.
 - Political dynasties capturing parliamentary seats for generations.
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15.1.2 Power Culture

Definition:

Power culture is a type of organizational or societal culture where power is concentrated in the hands of a few individuals or groups. Decisions are made centrally, and authority is rarely questioned.

Features:

- Centralized decision-making.
- Dependence on personal relationships rather than rules.
- Loyalty to individuals more than institutions.
- Suppression of dissent and opposition.
- Patronage and favoritism.

Types of Power Holders:

- **Political leaders:** Often act like monarchs rather than elected officials.
- **Bureaucracy:** Senior officials can exercise unchecked authority.
- **Military and Security Establishments:** Especially in countries with weak civilian control.
- **Feudal and Tribal Leaders:** Dominate rural areas.

Impact on Inequality:

- Policies reflect the interests of power holders.
- Corruption and nepotism in job and resource allocation.
- Institutions remain weak and unaccountable.
- Youth and women often excluded from leadership roles.

Examples:

- Sifarish (nepotism) in public sector hiring.

- Informal influence of military in civilian affairs in Pakistan.
 - Bureaucratic hurdles created to favor powerful interest groups.
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15.1.3 Colonial Impact

Definition:

The colonial impact refers to the long-lasting economic, political, and social structures and systems imposed by colonial powers, which have perpetuated inequality in post-colonial societies.

Key Colonial Legacies Contributing to Inequality:

1. Land Tenure Systems:

- British colonialists introduced the **Zamindari** and **Jagirdari** systems.
- Large tracts of land were given to loyal landlords.
- Peasants and farmers remained landless and impoverished.

2. Extractive Institutions:

- Focus on resource extraction rather than development.
- Infrastructure (like railways) was built to serve imperial interests.
- Little investment in human development (education, health).

3. Administrative Elitism:

- Colonial bureaucracy was designed to serve the imperial elite.
- Creation of an "educated elite class" loyal to the colonial masters.
- Post-independence, this elite inherited the institutions and continued the same systems.

4. Divide and Rule Policy:

- Ethnic, linguistic, and sectarian divisions were institutionalized.
- These divisions were exploited by post-colonial elites to maintain power.

Long-Term Consequences:

- Persistent land inequality.
- Weak governance institutions.
- A rigid class system.

- Socio-economic structures favoring the urban elite over rural populations.

Examples in South Asia:

- In Pakistan and India, large landholding families continued their dominance post-independence.
- The civil and military bureaucracies retained colonial attitudes of superiority and exclusivity.

Interconnections Between the Three Subtopics:

Aspect	Elite Capture	Power Culture	Colonial Impact
Concentration of Power	In hands of economic elite	In hands of select individuals/groups	Colonial administrators and loyalists
Impact on Institutions	Weakens transparency and accountability	Undermines institutional autonomy	Sets foundation for extractive institutions
Effect on Common People	Exclusion from decision-making and benefits	Lack of voice or recourse	Long-term systemic poverty and illiteracy
Modern Continuation	Political dynasties, corporate monopolies	Authoritarian leadership styles	Neo-colonial economic dependency

Conclusion:

Rising inequality is a multidimensional problem deeply rooted in historical and structural causes. Elite capture, power culture, and colonial legacy have created a cycle of underdevelopment, institutional decay, and injustice. Tackling inequality requires systemic reforms, democratization of institutions, land and tax reforms, and investment in human capital, particularly in marginalized communities.

